Practice workbook · Multinationals and globalisation

What a multinational is and what globalisation means; benefits and drawbacks of operating in more than one country, for the business itself and for the host country or economy where it locates.

12 question parts: 1 worked-example retry and 11 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: BUS-S1-16

1. Question 2 · part d · 3 marks

2021 NOV · Paper 02

Worked-example retry · Attempt part d only.

2 *Huawei* is one of many businesses that manufacture smartphones and tablets. It therefore needs to keep and retain its staff, so that production is continuous. This will help to maintain its customers.

(a) State **one** possible reason why *Huawei* pays its employees in the UK above the minimum wage.

(1)

(b) State **one** possible reason why *Huawei* would want to keep its customers loyal to its brand.

(1)

(c) Explain **one** reason why having good public relations is important to a business.

(3)

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1. Question 2 · part d · 3 marks

2021 NOV · Paper 02

Worked-example retry · Attempt part d only.

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(d) Explain **one** benefit of being a multinational business.

(3)

(e) Explain **one** reason why secondary research would be used by a business.

(3)

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1. Question 2 · part d · 3 marks · Working and answer

Working and answer

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2. Question 3 · part a · 1 mark

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part a only.

3 *BEXIMCO*, the owner of *Yellow*, is a multinational business that operates in many areas, including chemical, engineering and financial services.

(a) Define the term **multinational business**.

(1)

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(b) Outline **one** benefit to *BEXIMCO* of owning *Yellow*.

(2)

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In 2017 *BEXIMCO* had a total revenue of £147.5 million. *Yellow*'s revenue for the same year was £10.68 million.

(c) Calculate, to 2 decimal places, the percentage of revenue that *Yellow* contributed to *BEXIMCO*'s total revenue.

(2)

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2. Question 3 · part a · 1 mark · Working and answer

Working and answer

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3. Question 1 · part c · 1 mark

2020 NOV · Paper 02

Further practice · Attempt part c only.

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1 In 1985 *Emirates* started its airline business with just two aircraft. It is now a well-known airline with over 265 aircraft flying to over 180 destinations around the world.

Emirates has won many awards for service and reliability. Until 2016 passengers rated *Emirates* the leading airline to travel with. However, in 2017 its rating dropped from first to fourth.

(a) (i) Which **one** of the following only applies to a public limited company?

(1)

Select **one** answer.

- ☒ **A** Controlled by the government
- ☒ **B** Shares are traded on the stock exchange
- ☒ **C** A maximum of 50 shareholders
- ☒ **D** Restriction in the transfer of shares

(ii) Which **one** of the following departments would send an invoice to a supplier?

(1)

Select **one** answer.

- ☒ **A** Human resources
- ☒ **B** Marketing
- ☒ **C** Finance
- ☒ **D** Production

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3. Question 1 · part c · 1 mark

2020 NOV · Paper 02

Further practice · Attempt part c only.

Figure 1 shows the annual total revenue of £1 200 000 for five businesses.

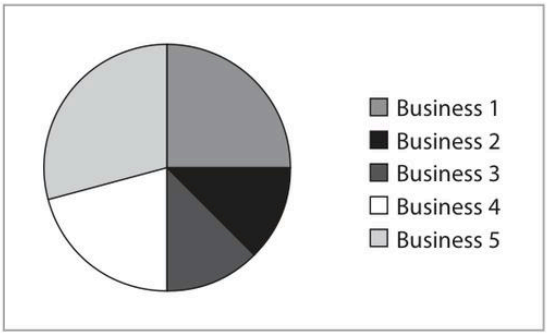


Figure 1

Business 1	**£300 000**
Business 2	**£150 000**
Business 3	**£150 000**
Business 4	**£250 000**
Business 5	**£350 000**

(iii) What is the market share for Business 2?

(1)

Select **one** answer.

- ☒ **A** 12.5%
- ☒ **B** 20.8%
- ☒ **C** 25.0%
- ☒ **D** 29.2%

(iv) Which **one** of the following describes an overdraft?

(1)

Select **one** answer.

- ☒ **A** A method of borrowing regular amounts
- ☒ **B** More funds taken out than are in the account
- ☒ **C** Money lent by many people to a business
- ☒ **D** A loan due for repayment in five years

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3. Question 1 · part c · 1 mark

2020 NOV · Paper 02

Further practice · Attempt part c only.

Figure 2 Extract from *Emirates* financial reports, 2015–2017

	2016–2017 Dirham millions (AED)	2015–2016 Dirham millions (AED)
Total assets	133 281	129 989
Cash assets	19 066	23 453

Figure 2

(v) What is the percentage change in total assets between 2015–2016 and 2016–2017?

(1)

Select **one** answer.

- ☒ **A** –18.70%
- ☒ **B** –2.53%
- ☒ **C** 2.47%
- ☒ **D** 2.53%

(vi) Which **one** of the following would be part of recruiting a new employee?

(1)

Select **one** answer.

- ☒ **A** Business plan
- ☒ **B** Induction training
- ☒ **C** Job description
- ☒ **D** Job enrichment

(b) Define the term **social enterprise**.

(1)

(c) Define the term **globalisation**.

(1)

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3. Question 1 · part c · 1 mark

2020 NOV · Paper 02

Further practice · Attempt part c only.

(d) State **one** reason why *Emirates* uses competition pricing.

(1)

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Figure 3 shows part of a cash flow forecast for *Emirates*.

	June 2017 Dirham billions (AED)
Opening balance	44
Cash inflow	26
Cash outflow	30
Net cash flow	
Closing balance	40

Figure 3

(e) Calculate the net cash flow for June 2017. You are advised to show your working.

(2)

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3. Question 1 · part c · 1 mark · Working and answer

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4. Question 3 · part a · 1 mark

2024 JUN · Paper 02

Further practice · Attempt part a only.

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3 *TUI* wants to maintain its reputation by continuing to provide quality holidays and experiences that customers will enjoy. This will encourage them to return to book future holidays with *TUI*.

(a) Define the term **multinationals**.

(1)

(b) Outline **one** reason why *TUI* offers employees working in its travel agencies a commission based on the number of holidays they sell.

(2)

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4. Question 3 · part a · 1 mark · Working and answer

Working and answer

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5. Question 3 · part b · 2 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

3 *BEXIMCO*, the owner of *Yellow*, is a multinational business that operates in many areas, including chemical, engineering and financial services.

(a) Define the term **multinational business**.

(1)

.....

.....

(b) Outline **one** benefit to *BEXIMCO* of owning *Yellow*.

(2)

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.....

In 2017 *BEXIMCO* had a total revenue of £147.5 million. *Yellow*'s revenue for the same year was £10.68 million.

(c) Calculate, to 2 decimal places, the percentage of revenue that *Yellow* contributed to *BEXIMCO*'s total revenue.

(2)

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5. Question 3 · part b · 2 marks · Working and answer

Working and answer

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6. Question 1 · part f · 3 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part f only.

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1 *Mahindra & Mahindra Limited (M&M)* is an Indian multinational vehicle manufacturing corporation with its headquarters in Mumbai, India. It is one of the largest manufacturers of cars, vans and tractors in the world.

M&M started in 1945 and has prospered for over 75 years with the aim of 'Rising through crisis'. In the 1970s with the oil crisis that sent the cost of petrol rising, it adapted its tractor diesel engines to be used in its cars and vans.

M&M is committed to ensuring that it protects the environment. In 2020 it planted 1.32 million trees across India. It supports schools for disadvantaged children and teenagers.

Figure 1 Maslow's Hierarchy of Needs

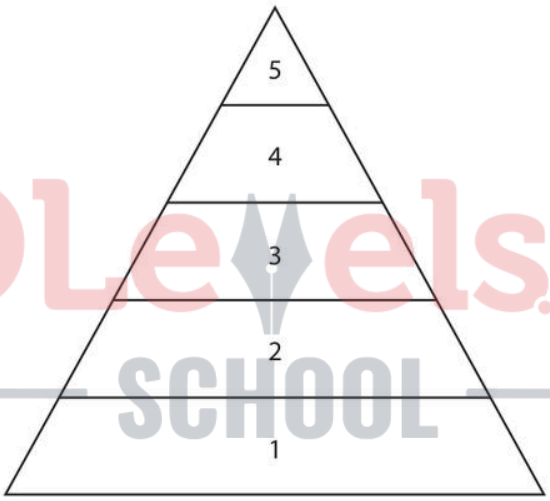


Figure 1

(a) (i) Which **one** of the following is Level 3 in Maslow's Hierarchy of Needs?

Select **one** answer.

(1)

- ☒ **A** Esteem
- ☒ **B** Social
- ☒ **C** Safety
- ☒ **D** Basic

6. Question 1 · part f · 3 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part f only.

(ii) Which **one** of the following is an external source of finance?

Select **one** answer.

(1)

- ☒ **A** Personal savings
- ☒ **B** Retained profit
- ☒ **C** Selling assets
- ☒ **D** Venture capital

Below is an extract from a cash flow forecast for one month.

The opening balance was £20 000, cash inflow £28 000 and cash outflow £56 000.

(iii) Which **one** of the following is the closing balance for the end of the month?

Select **one** answer.

(1)

- ☒ **A** –£28 000
- ☒ **B** –£8 000
- ☒ **C** £48 000
- ☒ **D** £84 000

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(iv) Which **one** of the following is a reason why governments raise tax rates?

Select **one** answer.

(1)

- ☒ **A** To raise revenue for the government
- ☒ **B** To attract multinationals
- ☒ **C** To raise demand in the economy
- ☒ **D** To reduce unemployment

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6. Question 1 · part f · 3 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part f only.

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In 2020 *M&M* sold 288,302 tractors. The number of tractors sold in 2021 was 12% higher.

(v) What would be the number of tractors sold in 2021?

Select **one** answer.

(1)

- ☒ **A** 253,706
- ☒ **B** 300,302
- ☒ **C** 322,898
- ☒ **D** 322,910

A shop owner wanted to gain information from potential customers before opening his shop.

(vi) Which **one** of the following market research methods would the shop owner use?

Select **one** answer.

(1)

- ☒ **A** Market segment
- ☒ **B** Primary research
- ☒ **C** Research and development
- ☒ **D** Secondary research

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6. Question 1 · part f · 3 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part f only.

(b) Define the term **public corporation**.

(1)

(c) Define the term **qualitative market research**.

(1)

(d) State **one** reason why it is important for *M&M* to motivate its employees.

(1)

In 2019 *M&M* borrowed 448 million Indian Rupees. In 2020 it borrowed 900 million Indian Rupees.

(e) Calculate, to two decimal places, the percentage increase from 2019 to 2020. You are advised to show your working.

(2)

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6. Question 1 · part f · 3 marks

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Further practice · Attempt part f only.

(f) Explain **one** advantage of becoming a multinational business.

(3)

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6. Question 1 · part f · 3 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part f only.

(g) Analyse the disadvantages to *M&M* of using social media.

(6)

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(Total for Question 1 = 20 marks)

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6. Question 1 · part f · 3 marks · Working and answer

Working and answer

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7. Question 2 · part c · 3 marks

2023 NOV · Paper 01

Further practice · Attempt part c only.

2 (a) State **one** non-financial method *AWG* may use to motivate its employees.

(1)

(b) State **one** task of an *AWG* employee working in the human resources department.

(1)

(c) Explain **one** benefit of globalisation to a small business.

(3)

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7. Question 2 · part c · 3 marks

2023 NOV · Paper 01

Further practice · Attempt part c only.

(d) Explain **one** method of below-the-line promotion a business may use to retain its customers.

(3)

(e) Explain **one** benefit to a business of using market segmentation to target its customers.

(3)

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7. Question 2 · part c · 3 marks · Working and answer

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8. Question 1 · part g · 6 marks

2022 JUN · Paper 02

Further practice · Attempt part g only.

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1 The *LEGO* Group is a privately-owned business in Denmark. The business was founded in 1932 by the Kristiansen family. The family still owns it. The name *LEGO* is an abbreviation of two Danish words, 'leg godt' which means 'play well'. It is now one of the world's largest manufacturers of toys with 15 factories and over 18,000 employees around the world.

LEGO manufactures toys, games and art materials for boys and girls of all ages, and products from films such as Star Wars and Harry Potter. It believes that children are the role models of the future and playing with *LEGO* can support children in a developing and complex world.

(a) (i) Which **one** of the following shows money coming in and money going out of a business?

Select **one** answer.

(1)

- ☒ **A** A mortgage
- ☒ **B** Break-even
- ☒ **C** Cash flow
- ☒ **D** Profit and loss

(ii) Which **one** of the following could a person complete when applying for a job?

Select **one** answer.

(1)

- ☒ **A** Application form
- ☒ **B** Shortlisting
- ☒ **C** Job description
- ☒ **D** Person specification

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8. Question 1 · part g · 6 marks

2022 JUN · Paper 02

Further practice · Attempt part g only.

Figure 1 shows financial information for one of *LEGO*'s suppliers in Danish Krone (DKK).

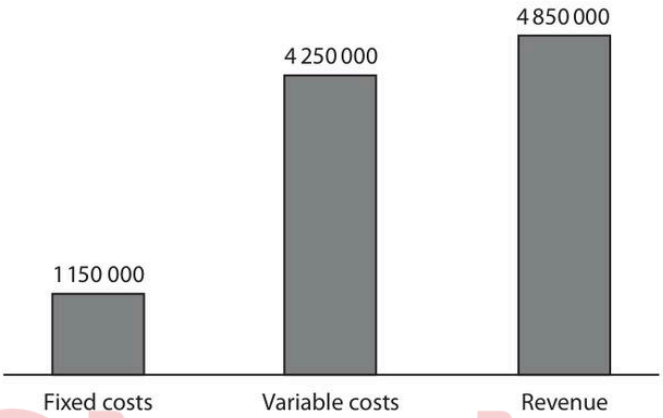


Figure 1

(iii) Which **one** of the following is the correct statement?

Select **one** answer.

(1)

☒ **A** Total costs of 10 250 000

☒ **B** Cash inflow of 3 100 000

☒ **C** Loss of 550 000

☒ **D** Profit of 600 000

(iv) Which **one** of the following is a benefit of being a franchisee?

Select **one** answer.

(1)

☒ **A** Being able to choose your own suppliers

☒ **B** Selling an established brand

☒ **C** Not having to pay interest on a bank loan

☒ **D** Having complete control of the business

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8. Question 1 · part g · 6 marks

2022 JUN · Paper 02

Further practice · Attempt part g only.

LEGO's revenue in 2019 was 38.5 billion DKK. In 2020 it was 40.81 billion DKK.

(v) Which **one** of the following is the percentage increase from 2019 to 2020?

Select **one** answer.

(1)

- ☒ **A** 0.06%
- ☒ **B** 1.06%
- ☒ **C** 2.31%
- ☒ **D** 6%

(vi) Which **one** of the following functional areas could help employees who had a problem with their wage?

Select **one** answer.

(1)

- ☒ **A** Production
- ☒ **B** Finance
- ☒ **C** Marketing
- ☒ **D** Sales

(b) Define the term **break-even**.

(1)

(c) Define the term **public corporation**.

(1)

(d) State **one** benefit for *LEGO* of having a short span of control.

(1)

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8. Question 1 · part g · 6 marks

2022 JUN · Paper 02

Further practice · Attempt part g only.

LEGO sells pineapple pencil holders for 148.00 DKK. The markup is 15%.

(e) Calculate, to two decimal places, the cost of making the pineapple pencil holders. You are advised to show your working.

(2)

..... DKK

(f) Explain **one** disadvantage of using questionnaires as a method of market research.

(3)

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8. Question 1 · part g · 6 marks

2022 JUN · Paper 02

Further practice · Attempt part g only.

(g) Analyse the benefits for *LEGO* of being a multinational business.

(6)

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(Total for Question 1 = 20 marks)

8. Question 1 · part g · 6 marks · Working and answer

Working and answer

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9. Question 4 · part b · 6 marks

2024 NOV · Paper 01

Further practice · Attempt part b only.

4 **Figure 3** is an extract from *Saha*'s statement of financial position.

	TRY (million)
Current assets	12
Inventory	4
Current liabilities	7

Figure 3

(a) Calculate, to two decimal places, the acid test ratio for *Saha*. You are advised to show your working.

(2)

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9. Question 4 · part b · 6 marks

2024 NOV · Paper 01

Further practice · Attempt part b only.

(b) Analyse the benefits for *Saha* of becoming a multinational business.

(6)

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9. Question 4 · part b · 6 marks

2024 NOV · Paper 01

Further practice · Attempt part b only.

Saha aims to manufacture robots that are high quality and long lasting.

(c) Evaluate the effects on *Saha* of introducing total quality management (TQM) to its business. You should use the information provided as well as your own knowledge of business.

(12)

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9. Question 4 · part b · 6 marks · Working and answer

Working and answer

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10. Question 1 · part g · 6 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

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1 *Paco Rabanne* began trading in the 1960's. It changed from *Paco Rabanne* to *Rabanne*. The business was started by Francisco Cuervo. At first it designed and made costumes using plastic and metal for the film industry. Cuervo designed costumes for many film stars including Jane Fonda in Barbarella.

Later Francisco Cuervo developed a range of products for men, such as the aftershaves Paco Rabanne Pour Homme and Invictus, and for women, the perfumes 1 Million and Lady Million.

Rabanne is still one of the leading manufacturers of a range of products including fashionable clothes, handbags and jewellery. It has many employees across the world.

(a) (i) Which **one** of the following is a variable cost?

Select one answer.

(1)

- ☒ **A** Insurance
- ☒ **B** Rent
- ☒ **C** Salaries
- ☒ **D** Raw materials

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(ii) Which **one** of the following is a type of discrimination protected by employee legislation?

Select **one** answer.

(1)

- ☒ **A** Political
- ☒ **B** Ethical
- ☒ **C** Age
- ☒ **D** Promotion

10. Question 1 · part g · 6 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

Rabanne has promotional offers to encourage customers to buy its perfumes and aftershaves.

A customer buying Pour Homme and Lady Million together will receive a 12% promotional discount.

Pour Homme is priced at £85.00 (GBP) and Lady Million is priced £86.00 (GBP).

(iii) Which **one** of the following is the price of buying both items with the promotional discount?

Select **one** answer.

(1)

- ☒ **A** £129.65
- ☒ **B** £150.48
- ☒ **C** £160.80
- ☒ **D** £171.00

(iv) Which **one** of the following is an advantage of primary market research?

Select **one** answer.

(1)

- ☒ **A** It is cheaper than other types of market research
- ☒ **B** It is less time-consuming than secondary research
- ☒ **C** It is more up to date method of research
- ☒ **D** It is only carried out by market-research agencies

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10. Question 1 · part g · 6 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

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Figure 1 shows the monthly cash flow information for a business.

Opening balance	€76 000
Cash inflow	€54 000
Cash outflow	€34 000

Figure 1

(v) Which **one** of the following is the closing balance for this month?

Select **one** answer.

(1)

- ☒ **A** € 88 000
- ☒ **B** € 96 000
- ☒ **C** €110 000
- ☒ **D** €130 000

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An American bank's interest rates have changed from 4.5% to 6.0%.

(vi) Which **one** of the following is a likely effect of this change for American businesses?

Select **one** answer.

(1)

- ☒ **A** Higher loan repayments
- ☒ **B** Decrease in labour costs
- ☒ **C** Improved net cash flow
- ☒ **D** Increase in sales

(b) Define the term **autonomy**.

(1)

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(c) Define the term **qualitative data**.

(1)

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10. Question 1 · part g · 6 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

(d) State **one** reason why *Rabanne* may use test marketing when introducing a new product.

(1)

In Europe a *Rabanne* handbag costs €1 590.00 (euro).

The exchange rate is €0.93 = $1.00

(e) Calculate, to two decimal places, the price of the handbag in US dollars. You are advised to show your working.

(2)

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(f) Explain **one** reason why an employer might use a letter to communicate with an employee.

(3)

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10. Question 1 · part g · 6 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

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(g) Analyse **two** benefits to *Rabanne* of being a global business.

(6)

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(Total for Question 1 = 20 marks)

10. Question 1 · part g · 6 marks · Working and answer

Working and answer

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11. Question 4 · part b · 6 marks

2023 NOV · Paper 02

Further practice · Attempt part b only.

4 **Figure 3** shows the gross profit for *Kraft Heinz* for the three months ending 25 June 2022:

	Million (US Dollars)
Gross profit	1 984
Revenue	6 554

Figure 3

(a) Calculate, to two decimal places, the gross profit margin for *Kraft Heinz* for the three months ending 25 June 2022. You are advised to show your working.

(2)

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11. Question 4 · part b · 6 marks

2023 NOV · Paper 02

Further practice · Attempt part b only.

(b) Analyse the benefits to countries where *Kraft Heinz* is located.

(6)

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11. Question 4 · part b · 6 marks

2023 NOV · Paper 02

Further practice · Attempt part b only.

Kraft Heinz advertises on a regular basis using different methods such as television and posters. Its products are purchased by the young and old. In 2019, it used a television advertisement with Ed Sheeran, the pop star, demonstrating his taste for Heinz tomato sauce.

(c) Evaluate the importance to *Kraft Heinz* of using a variety of different methods to advertise to its target customers. You should use the information provided as well as your own knowledge of business.

(12)

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11. Question 4 · part b · 6 marks · Working and answer

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12. Question 1 · part g · 6 marks

2024 NOV · Paper 02

Further practice · Attempt part g only.

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1 The first *Premier Inn* hotel was opened in 1987. *Premier Inn* now has over 820 hotels in the UK, United Arab Emirates (UAE) and India with over 83,000 rooms. It has recently expanded by opening the first *Premier Inn* in Germany and has plans to open more in other countries.

The majority of the hotels have restaurants with facilities for guests to buy meals and drinks.

(a) (i) Which **one** of the following is the break-even point on a break-even chart?

Select **one** answer.

(1)

- ☒ **A** When fixed costs and variable costs are the same
- ☒ **B** When total costs and fixed costs are the same
- ☒ **C** When fixed costs and total revenue are the same
- ☒ **D** When total costs and total revenue are the same

(ii) Which **one** of the following is a benefit to a franchisee?

Select **one** answer.

(1)

- ☒ **A** The franchisee can buy supplies from any supplier
- ☒ **B** The franchisee is given support from the franchisor
- ☒ **C** The franchisee is guaranteed a set wage
- ☒ **D** The franchisee has total control

(iii) Which **one** of the following is an advantage of job production when compared to other methods of production?

Select **one** answer.

(1)

- ☒ **A** Workers will be better motivated
- ☒ **B** Production speeds will be faster
- ☒ **C** Unit costs will be the same
- ☒ **D** Less training will be needed

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12. Question 1 · part g · 6 marks

2024 NOV · Paper 02

Further practice · Attempt part g only.

The cost of getting a room ready for customers at the UAE *Premier Inn* is 325 Arab Emirates Dirham (AED).

Premier Inn then adds 25% for other expenses including salaries.

(iv) Which **one** of the following would be the total amount paid in AED by a customer for a room?

Select **one** answer.

(1)

- ☒ **A** 81.25
- ☒ **B** 243.75
- ☒ **C** 350.00
- ☒ **D** 406.25

Figure 1 – Extract from *Premier Inn* financial report in 2021–2022.

	2021 £ millions	2022 £ millions
Revenue	249.60	772.80

Figure 1

(v) Which **one** of the following is the percentage increase in revenue from 2021 to 2022.

Select **one** answer.

(1)

- ☒ **A** 5.23%
- ☒ **B** 67.70%
- ☒ **C** 209.62%
- ☒ **D** 523.20%

(vi) Which **one** of the following is an internal source of finance for a business?

Select **one** answer.

(1)

- ☒ **A** Crowdfunding
- ☒ **B** Loan capital
- ☒ **C** Personal savings
- ☒ **D** Venture capital

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12. Question 1 · part g · 6 marks

2024 NOV · Paper 02

Further practice · Attempt part g only.

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(b) Define the term **job description**.

(1)

(c) Define the term **public corporation**.

(1)

(d) State **one** reason why *Premier Inn* managers would delegate tasks to hotel employees.

(1)

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12. Question 1 · part g · 6 marks

2024 NOV · Paper 02

Further practice · Attempt part g only.

To encourage people to stay at a new German hotel, *Premier Inn* offers a 12.5% discount on a room for the first night only.

The price for one night is €89.25.

(e) Calculate, to two decimal places, the price for the first night after the discount has been applied. You are advised to show your working.

(2)

€ .....

(f) Explain **one** advantage of using focus groups when carrying out market research.

(3)

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12. Question 1 · part g · 6 marks

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Further practice · Attempt part g only.

Premier Inn plans to open more hotels in India.

(g) Analyse the benefits for India of these plans.

(6)

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(Total for Question 1 = 20 marks)

12. Question 1 · part g · 6 marks · Working and answer

Working and answer

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